



MGT 171R: **RSA Televisions**

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Should we sell RSA at a Loss?

RSA's challenges are cyclical and operational, not structural.

- With careful management through current threats, RSA can come out and remain largely profitable.
- Selling now would lock in a poor valuation and forfeit the upside just as conditions are set to improve.
 - **Pros: Long-term benefit**
 - Semiconductors, materials,
 - **Cons:**
 - Sales
 - **Consider:**
 - Warehousing
 - Labour



Should we sell RSA at a Loss?

No, we should not sell RSA at a Loss:

- A fast exit hurts everyone
 - Especially in current market conditions; that are **temporary!**
 - Executives
 - Prospective buyer
 - **Relations:**
 - Manufacturing partners
 - Chinese storage & Local Warehousing
 - **Experience**
 - Womart
 - Workers

If deadset, reconsider only after certain conditions ease up.



Should RSA Continue to Sell to Womart?

- Yes!
 - But with risk controls and a diversification plan.
- Womart still brings in ~\$18.75M/year (75% of RSA's \$25M revenue)
- Maintaining the partnership helps stabilize sales during recovery
- The 90% service level is feasible with operational improvements
- Over-reliance is a concern
 - We recommend **beginning expansion into other sales channels**



Supporting Analysis

- **Sales Impact:**
 - Womart = 75% of \$25M → **\$18.75M/year**
 - Even with 25% COVID-related sales drop, still significant
- **Penalty Risk:**
 - Worst case: 12 months of service failures = $12 \times \$30K = \textbf{\$360K/year}$
 - Still leaves over **\$18M in revenue** from Womart alone
- **Inventory Strategy:**
 - Safety stock formula: $z \times \sigma = 1.28 \times 231 \approx \textbf{296 TVs}$
 - Helps meet service level and avoid penalties
- **Logistics Adjustment:**
 - Ship high-demand units in **5,000-unit batches** to reduce per-unit shipping cost and ensure volume



Moving Forward Strategy

Short Term (Stabilize)

- Cap output at 15K units; hold 300 units buffer
- Maintain Womart SLA; use temp labor + 10% warehouse savings
- Reinvest 5% material savings in target promos

Mid Term (Build Flexibility)

- Pilot alternate sales channels to reduce Womart dependency
- Treat DC's as a virtual pool to rebalance inventory
- Use rolling forecasts and phased shipments

Long Term (Scale Smartly)

- Trigger 2nd assembly line after > 80% utilization
- Monitor chip easing (15%/mo); vet backup suppliers
- Explore new plant design/final assembly near key markets



Thank you!